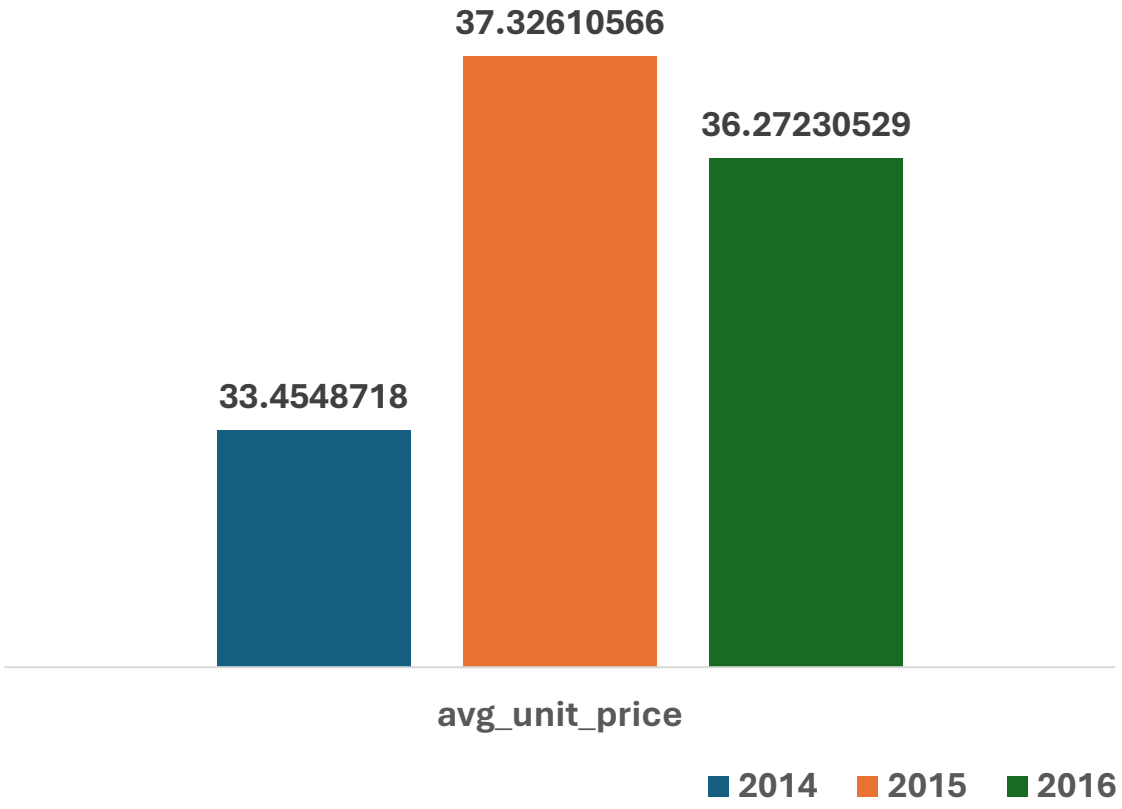
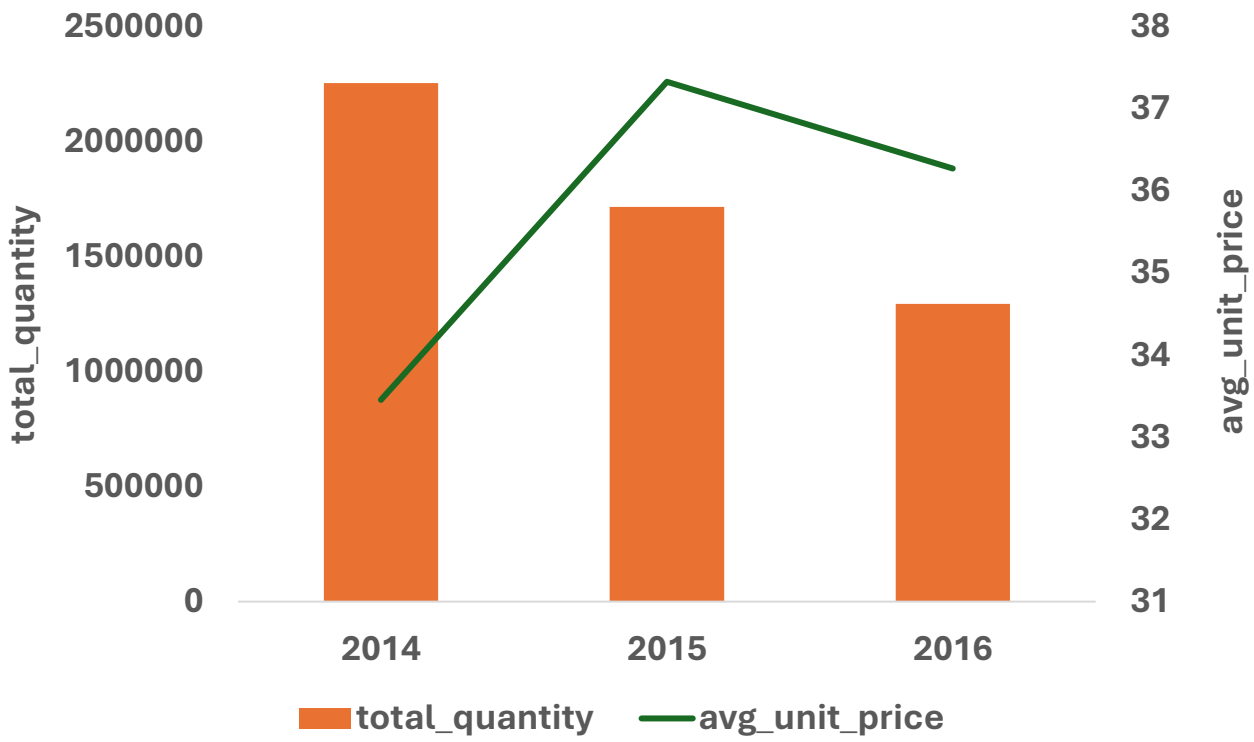
SALES REPORT

Price and Volume Trends (2014–2016)

2015 marks the high point in unit pricing



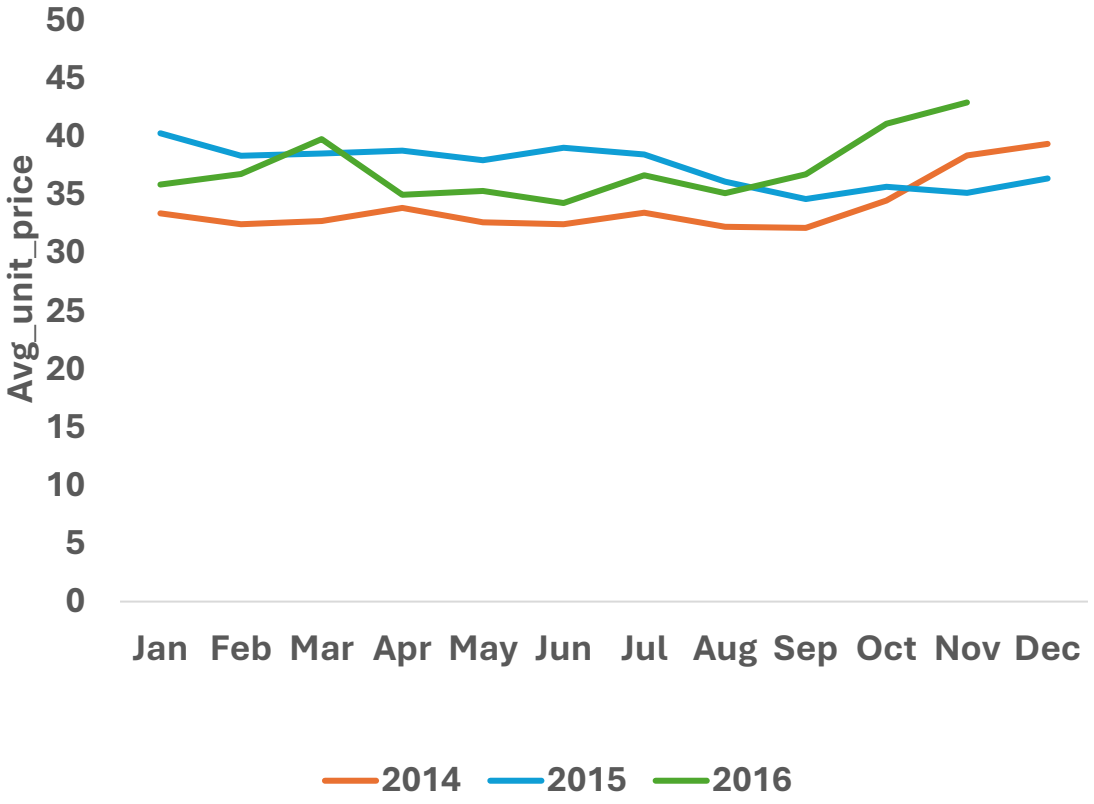
Volume continues to fall even after prices eased in 2016



Demand appears price sensitive: the 2015 price jump drove a sharp volume drop, and the continued decline in 2016 despite lower prices suggests a lag effect or customer loss.

Seasonal price patterns and demand response

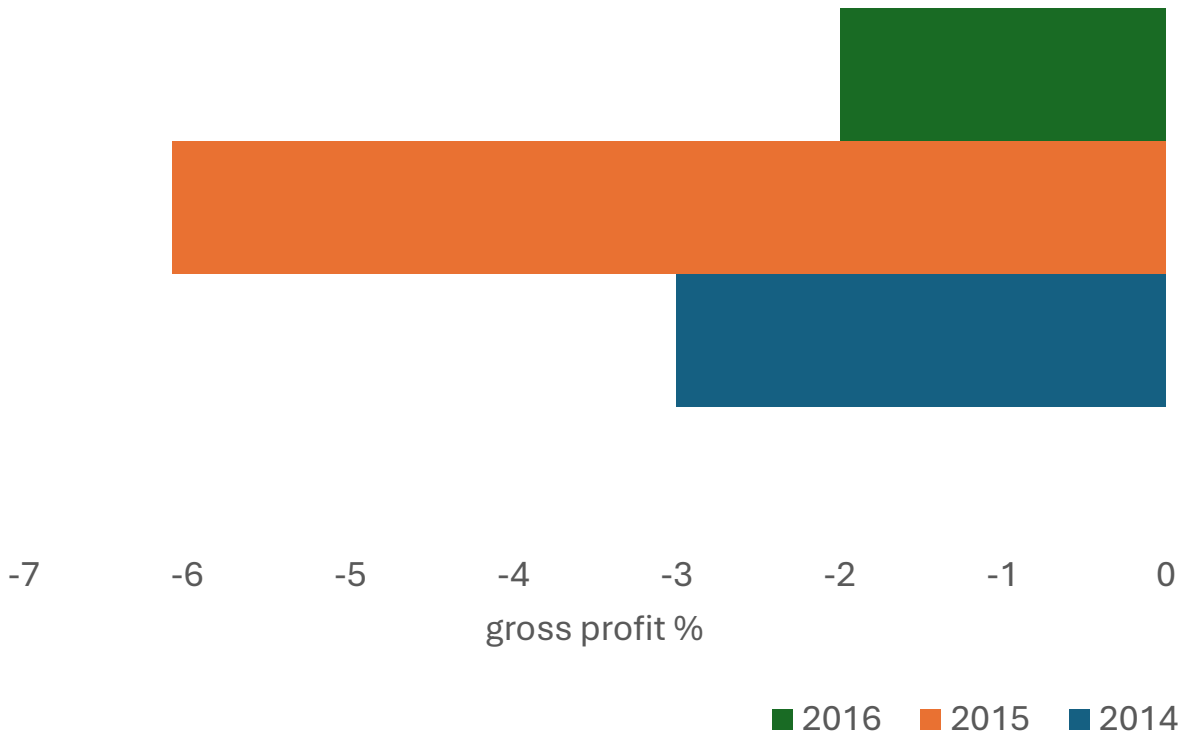
All years show a year-end price rise, with 2016 displaying the strongest upward trend.



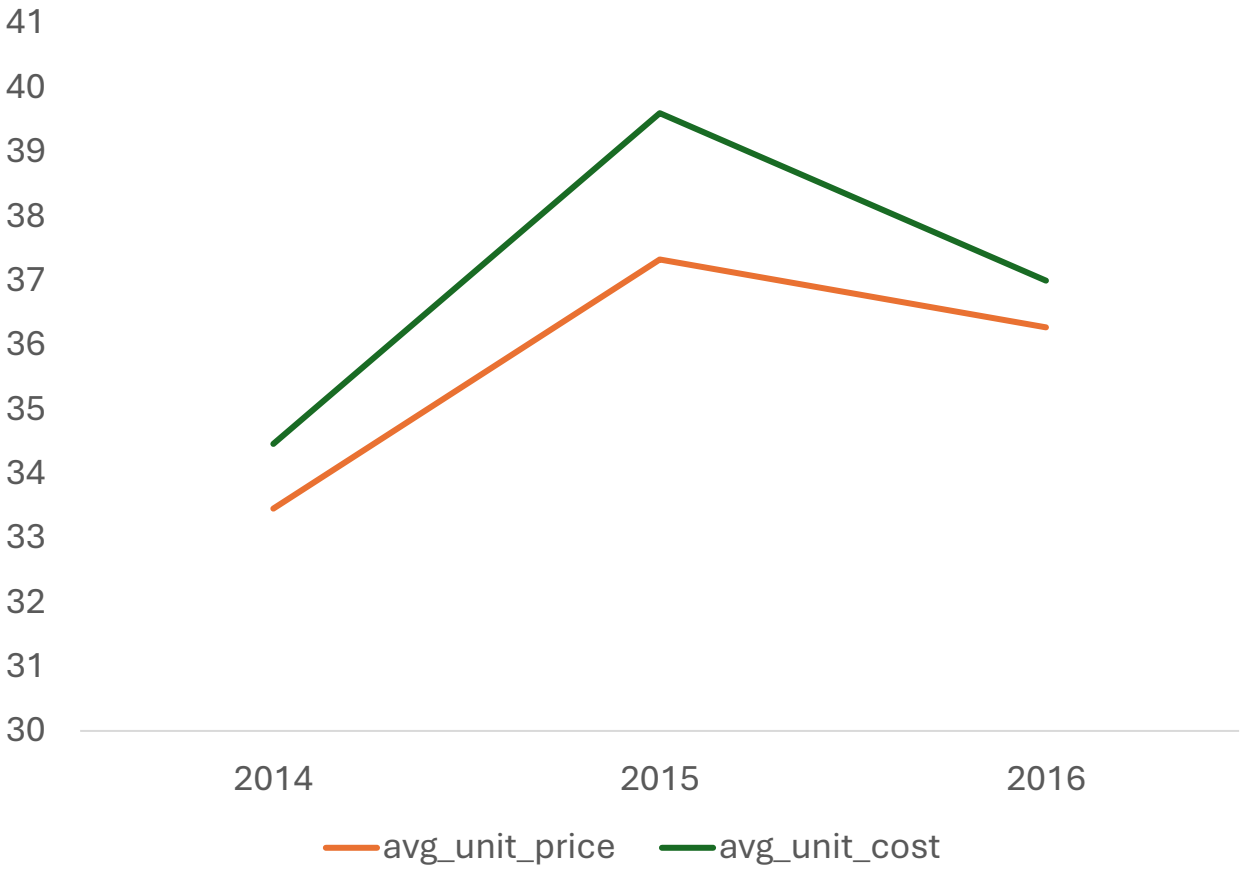
A price drop triggers a strong increase in quantity sold

Margins and cost–price trends

Gross profit margins remain negative across all years

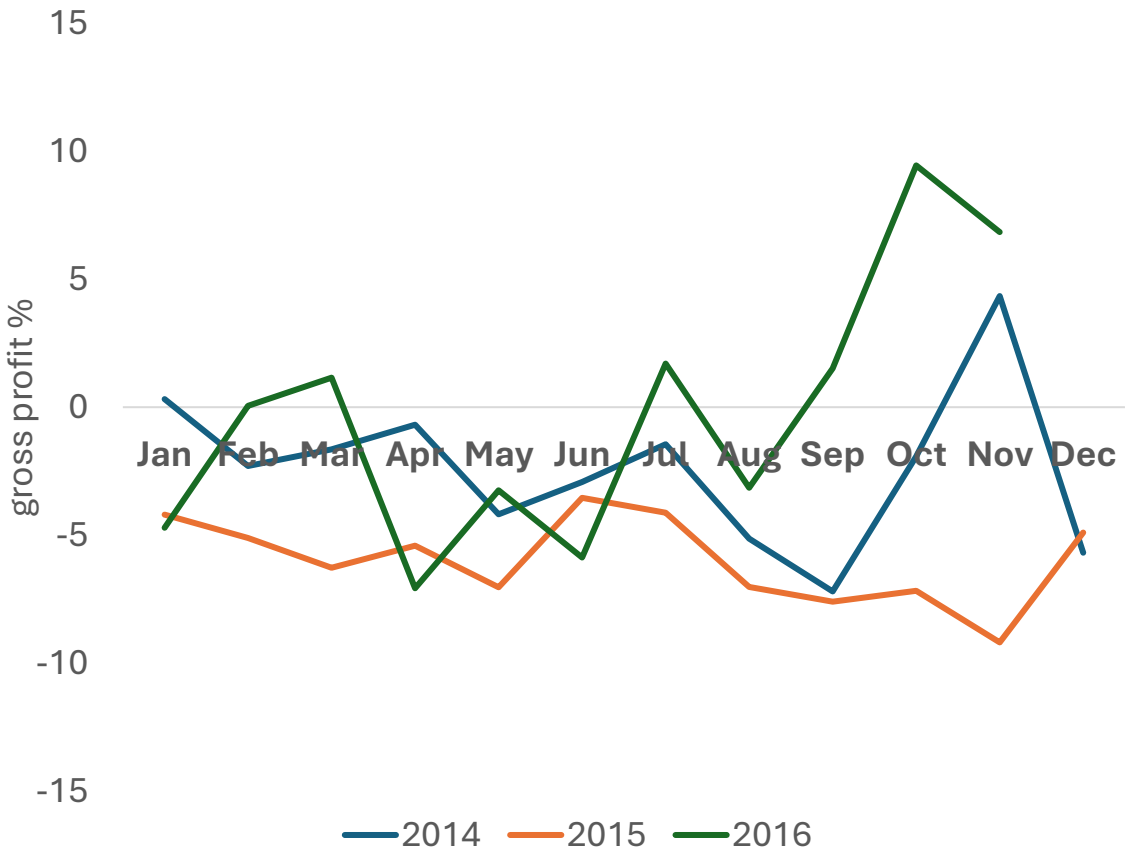


Cost–Price gap peaks in 2015

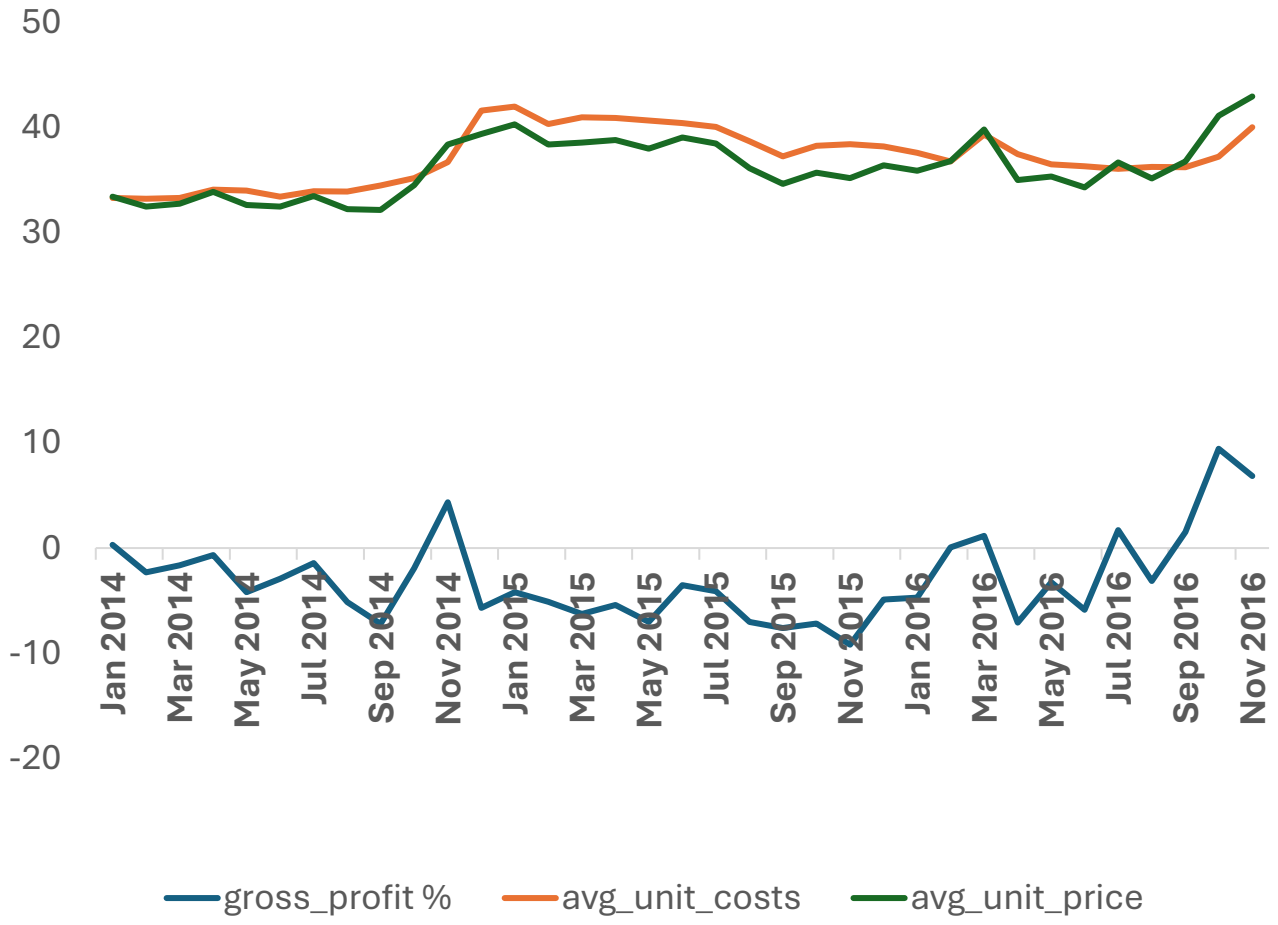


Margins remain negative because unit costs exceed selling prices every year, with losses peaking in 2015.

Profitability remains unstable, with no consistent monthly pattern



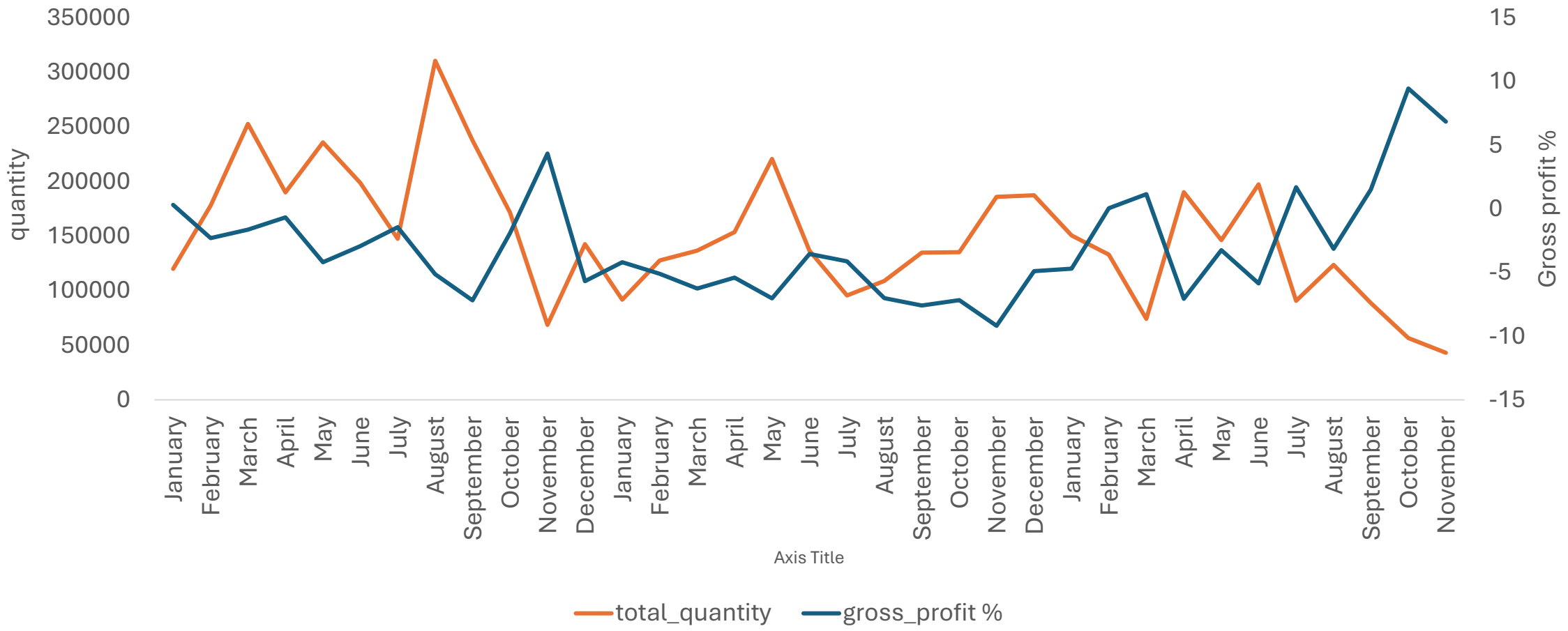
Profitability stays weak because costs move too closely with price



Margins peak when price pulls ahead of cost (Nov 2014 and Oct 2016), showing profitability depends on a clear price–cost gap. Therefore, margins should be strengthened by reducing costs or maintaining pricing discipline to preserve that gap

Volume and Profit Overview

Increasing quantity reduces gross profit



Sales growth is driven by low-margin volume, spikes in quantity reduce gross profit %, indicating that increased sales come at the expense of profitability.

Price Elasticity of Demand During Promotional Periods

Promotional period	%Δ Price	%Δ Quantity	Price Elasticity (PED)
August **2014**	-3.68	+110.63	30.06
September **2015**	-4.15	+23.81	5.74
April **2016**	` -12.06	+156.43	12.97

- All PED values are greater than 1, meaning demand is highly elastic and customers respond strongly to price reductions.
- In my opinion, this product performs worse at a promotional price, despite elastic demand (PED > 1), gross profit margins were negative in Aug 2014 (-5.1352%), Sep 2015 (-7.5932%), and Apr 2016 (-7.0731%), confirming that promotions led to losses.

Recommendations

- Focus on reducing costs or using segmented pricing instead of raising prices to maintain sales volume
- Monitor cost fluctuations closely and adjust pricing proactively to protect margins
- Protect gross profit per unit rather than chasing quantity driven sales growth
- Avoid promotional pricing below unit cost